

Shipping & Shipbuilding Insights

How will USTR 301 v2 reshape the industry?

In our recent report, [*Shipping & Shipbuilding Insights: Adapting to New Realities Amid Reduced Green Ambitions and USTR301 Uncertainties*](#), we explored the potential impacts of regulatory changes on the shipping industry including read-throughs from the MEPC 83 committee (April 7-11), which marks a shift in emission targets, with lowered ambitions for 2030 and 2040 compared to the targets. Since its publication, the U.S. Trade Representative (USTR) has announced at its meeting (April 17) significant updates to Section 301, which are set to reshape the industry landscape. The revised plan introduces a more streamlined approach by not considering fleet composition but implementing a 180-day exemption period, likely to gather industry feedback. The fee structure has been adjusted, and the scope has expanded to include foreign-made roll-on/roll-off (ro-ro) car carriers and, in three years, liquefied natural gas (LNG) carriers. These changes reflect the USTR's focus on enhancing domestic manufacturing capabilities and reducing reliance on foreign-built vessels, with China made vessels as the initial targets. Coupled with the reduced green ambitions and delayed IMO 2030 targets, we anticipate slippage in order delivery for Chinese shipyards (including YZJ), with slippage likely for the existing orderbook, and a drop in order flow in the coming years.

Stock views: Despite some brokers commenting that the USTR 301 is better than feared and expressing optimism about Chinese shipyards, we maintain an Underweight (UW) rating on YZJ Shipbuilding. In addition, the inclusion of foreign-made vessels for ro-ro and LNG carriers in the USTR's scope indicates a transitional phase for Korean yards, as the U.S. aims to build its own shipyards eventually. In the near term, we expect these non-Chinese yards to gain market share, driven by urgent replacement needs rather than new order flows, especially given the industry's reduced green ambitions. On the shipping side, our top Overweight (OW) pick is Evergreen Marine, as we anticipate the liner will gain market share on the Transpacific route, which is likely to experience supply chain disruptions and potential spikes in spot freight rates over the next 6-9 months. We also favor intra-region players such as TS Lines, as we expect the China +1 strategy to continue driving demand. Conversely, we remain cautious on COSCO Shipping - H, although we believe its proactive share buyback and payout strategy will provide near-term price support.

- **The USTR's revised Section 301 plan introduces a nuanced fee structure that targets two distinct groups:** Chinese vessel owners and operators of China-made ships, and non-Chinese vessel owners operating China-made ships. This dual-group approach aims to address trade imbalances by imposing fees based on net tonnage, with rates increasing incrementally over the years. For Chinese vessel owners, the fees will start at \$50 per net ton, rising to \$140 per

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net ton by 2028. Non-Chinese operators will face fees starting at \$18 per net ton, with annual increases of \$5. Unlike the preliminary proposal, these fees will be assessed per port rotation rather than individual port calls, and they will not be cumulative. This complex structure requires operators to carefully assess their fleet composition and strategic positioning to mitigate potential financial impacts. Additionally, the plan specifies that fees will be charged up to five times per year, per vessel, further complicating compliance strategies.

- **Industry feedback highlights economic concerns and competitive disadvantages.** Our discussions with our industry contacts over the weekend focused on concerns about the economic impact of the new fee structure. The calculation of net tonnage (NT) and its implications for cost increases are central to these concerns. For example, a 16,000 TEU ship has an NT of approximately 100,000 tons, while a 13,000 TEU ship has an NT of about 70,000 tons. Based on 2024 cargo volumes, the cost increase could be around \$100-300 per container, potentially affecting global trade dynamics. The phased fee increases over five stages present a competitive disadvantage for Chinese companies compared to foreign operators using Chinese-built ships, who will face a different pricing mechanism. That said, do note the USTR's decision to impose fees on Chinese-built ships owned by non-Chinese companies, such as MSC and Maersk, underscores the broader impact on the global shipping industry, which would prompt these non-Chinese vessel owners to reconsider their fleet strategies. Last but not least, industry feedback also suggests challenges in reviving the U.S. shipbuilding sector, with concerns about high construction costs, delivery timelines, and quality. Historical reluctance of North American shipyards to engage with foreign companies, due to fears of technology transfer, further complicates the potential for domestic shipbuilding growth in addition to the low productivity.
- **The expansion to include ro-ro and LNG carriers reflects broader compliance requirements:** The updated plan broadens its scope to include roll-on/roll-off (ro-ro) car carriers and, in three years, liquefied natural gas (LNG) carriers. Non-U.S.-made ships, including those constructed by Korean yards outside the U.S., will also face taxation. This expansion reflects the USTR's focus on incentivizing U.S.-built vessels and supporting domestic shipbuilding industries.
- **Tax exemptions under the new USTR 301 plan could enhance the economic viability of smaller vessels:** Under the new USTR 301 plan, vessels carrying less than 4,000 TEUs are exempt from certain taxes, which could provide a strategic advantage for operators of smaller vessels. Despite this potential benefit, the economic viability of these vessels remains in question due to their limited ability to circumvent port fees. Some industry players have explored the possibility of docking at Canadian ports and using feeder vessels to transport goods to the U.S. However, this strategy faces challenges, as North America currently lacks the extensive coastal short-sea services found in regions such as China, making such feeder services impractical at present. Nonetheless, we believe there is potential for these services to be developed in the coming years, offering alternative routes and cost-saving opportunities for operators. Until then, the strategic use of smaller vessels requires careful consideration of operational costs and logistics.

- **USTR seeks public comment on proposed tariffs for ship-to-shore cranes and cargo handling equipment:** On this topic, the USTR plans to host a public hearing on 19 May 2025. These proposed tariffs could range from 20% to 100%, significantly escalating from the existing 25% duties imposed last year. The initiative aims to address concerns over China's influence in the manufacturing of these critical components and to bolster domestic production capabilities. Stakeholders in the shipping and logistics industries are encouraged to participate in the public comment process to provide insights and feedback on the potential impacts of these tariffs on their operations and supply chains. The outcome of this hearing could have far-reaching implications for the cost and availability of essential port equipment, influencing both import and export activities across U.S. ports, in our view.

Companies Discussed in This Report (all prices in this report as of market close on 17 April 2025, unless otherwise indicated)

COSCO SHIPPING Holdings Co Ltd - H(1919.HK/HK\$11.26/N), Evergreen Marine(2603.TW/NT\$207.50[18 April 2025]/OW), T.S. Lines(2510.HK/HK\$6.17/OW), Yangzijiang Shipbuilding Holdings Ltd(YAZG.SI/SS\$2.06/UW)

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Evergreen Marine (2603.TW, 2603 TT) Price Chart



Date	Rating	Price (NT\$)	Price Target (NT\$)
28-May-22	OW	144.50	520
06-Oct-22	OW	155.50	193
12-Jun-23	OW	155.00	190
04-Oct-23	OW	110.50	166
11-Jan-24	OW	148.00	220
22-Feb-24	OW	155.00	225
19-Apr-24	OW	168.00	230
27-May-24	OW	219.50	300
25-Sep-24	OW	204.00	315
14-Nov-24	OW	219.50	320
15-Feb-25	OW	211.50	322
13-Mar-25	OW	228.50	341
19-Mar-25	OW	232.00	348

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 12, 2017. All share prices are as of market close on the previous business day.

Yangzijiang Shipbuilding Holdings Ltd (YAZG.SI, YZJSGD SP) Price Chart



Date	Rating	Price (S\$)	Price Target (S\$)
27-May-22	OW	0.90	1.2
06-Oct-22	OW	1.04	1.3
14-Nov-22	OW	1.38	1.5
26-Jun-23	OW	1.28	1.6
04-Aug-23	OW	1.55	1.75
20-Aug-23	OW	1.68	1.9
28-Feb-24	OW	1.67	2.1
23-May-24	OW	1.75	2.2
30-May-24	OW	2.20	2.5
26-Jun-24	OW	2.48	2.8
13-Aug-24	OW	2.38	3.3
25-Feb-25	N	2.99	3
02-Mar-25	N	2.38	2.3
13-Mar-25	UW	2.33	1.6

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Sep 25, 2018. All share prices are as of market close on the previous business day.

T.S. Lines (2510.HK, 2510 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
10-Dec-24	OW	4.13	6.1
15-Feb-25	OW	4.49	7.1
13-Mar-25	OW	4.94	7.6
16-Apr-25	OW	5.74	7.4

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Dec 10, 2024. All share prices are as of market close on the previous business day.

COSCO SHIPPING Holdings Co Ltd - H (1919.HK, 1919 HK) Price Chart



Date	Rating	Price (HK\$)	Price Target (HK\$)
28-May-22	OW	13.70	19
06-Oct-22	OW	9.54	12
12-Jun-23	OW	7.29	11
10-Oct-23	OW	7.85	10
20-Jan-24	OW	7.85	13
29-Apr-24	OW	9.50	13.5
27-May-24	OW	12.56	18
15-Feb-25	OW	12.56	19
13-Mar-25	N	12.08	12
01-Apr-25	N	12.24	13

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends. Initiated coverage Aug 11, 2005. All share prices are as of market close on the previous business day.

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